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SEBI's ICDR Amendments for SME IPO Listing

SEBI Modifies ICDR Norms to Enhance SME IPO Transparency

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SEBI SME IPO Rules:

SEBI has introduced a comprehensive overhaul of SME IPO regulations to enhance transparency, investor protection, and market integrity. Below are the main updates effective as per current circular:

Stricter Eligibility and Profitability Criteria:

- SMEs must report a minimum operating profit (EBITDA) of ₹1 crore in at least two of the last three financial years to qualify for an IPO.
- If a company has converted from a proprietorship, partnership, or LLP, it must exist for at least one full financial year before filing for an IPO.

Higher Minimum Application Size:

- The minimum application size for SME IPOs has been increased from ₹1 lakh to ₹2 lakh, effectively excluding retail investors (those applying for less than ₹2 lakh) from participation.
- This change aims to attract only serious investors with higher risk tolerance, reducing speculative or casual retail participation.

Offer for Sale (OFS) and Promoter Restrictions:

- The OFS portion is capped at 20% of the issue size.
- No selling shareholder can offload more than 50% of their holding in the IPO.
- Promoter lock-in: Any promoter shareholding above the minimum promoter contribution (MPC) will be released in two phases, 50% after one year, and the remaining 50% after two years.

Use of IPO Proceeds:

- The amount allocated for general corporate purposes (GCP) is capped at 15% of the total issue size or ₹10 crore, whichever is lower.
- IPO proceeds cannot be used to repay loans from promoters, promoter groups, or related parties.

Enhanced Disclosure and Transparency:

- The Draft Red Herring Prospectus (DRHP) must be available for public comments for 21 days, with mandatory newspaper notices and QR codes for easy access.
- More detailed disclosures are required regarding the use of funds.

Other Notable Changes:

- Minimum post-issue capital requirement raised to ₹10 crore from ₹3 crore.
- Merchant bankers must now underwrite at least 15% of the issue size, ensuring greater due diligence.
- For book-built SME IPOs, allotment to non-institutional investors (NIIs) will now be done via a lottery (draw of lots), aligning with mainboard IPO practices.

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Summary Table: Major SME IPO Rule Changes

Aspect	Old Norms	New Norms (2025)
Minimum Application Size	No strict EBITDA criteria	₹2 lakh
Profitability Requirement	3 years for MPC, 1 year for excess	₹1 crore EBITDA in 2 of the last 3 years
OFS Limit	No specific GCP cap, loan repayment allowed	Max 20% of issue size, 50% per shareholder
Promoter Lock-in	Not mandatory	Phased: 50% excess after 1 year, rest after 2 years
Use of IPO Proceeds	₹3 crore	GCP max 15% or ₹10 crore; no loan repayment to promoters
DRHP Public Review	Not mandatory	21-day mandatory public review
Post-issue Capital	₹1 lakh	₹10 crore
Merchant Banker Underwriting	₹1 lakh	15% of issue size

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